

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") is made and entered into as of November 1, 2021, by and between **LOS ANGELES RETAIL GROUP**, a California limited partnership ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

WHEREAS, Landlord owns Sunset Center, a 410,000 square foot entertainment and retail complex on the world-famous Sunset Boulevard in Los Angeles;

WHEREAS, Tenant desires to establish an outlet format store to capture tourist traffic and serve the entertainment district;

WHEREAS, the Premises consist of a prime corner location with Sunset Boulevard frontage and excellent visibility;

WHEREAS, Landlord views Tenant as a stabilizing retail anchor for the entertainment-oriented center;

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree:

ARTICLE 1 - BASIC LEASE INFORMATION

1.1 Key Terms Summary

Lease Element	Details
Landlord:	Los Angeles Retail Group
Tenant:	Skyline Stores
Guarantor:	Skyline Stores Holdings, Inc.
Premises:	18,000 rentable square feet
Store ID:	S012
Address:	9 Sunset Boulevard, Los Angeles, CA 90028
Shopping Center:	Sunset Center
Tenant's Pro Rata Share:	4.39% (18,000 ÷ 410,000)
Term:	Five (5) years
Commencement Date:	November 8, 2021
Expiration Date:	November 7, 2026
Base Rent:	See Section 3.1 below
Security Deposit:	\$108,000 (cash)
Parking:	90 spaces allocated
Brokers:	CBRE (Landlord) / None (Tenant)

1.2 Base Rent Schedule

Lease Year	Period	Monthly Base Rent	Annual Total	Rate PSF
Year 1	11/8/21 - 11/7/22	\$54,000	\$648,000	\$36.00
Year 2	11/8/22 - 11/7/23	\$56,160	\$673,920	\$37.44
Year 3	11/8/23 - 11/7/24	\$58,406	\$700,877	\$38.94
Year 4	11/8/24 - 11/7/25	\$60,743	\$728,912	\$40.49
Year 5	11/8/25 - 11/7/26	\$63,172	\$758,068	\$42.11

ARTICLE 2 - PREMISES AND TERM

2.1 Leased Premises

Landlord demises to Tenant the Premises consisting of:

- 18,000 SF ground floor retail space
- Corner location with dual frontage
- Two-level configuration (12,000 main + 6,000 mezzanine)
- Private loading area

- Rooftop signage rights
- Patio seating area (500 SF)

2.2 Common Areas

Non-exclusive use of:

- Multi-level parking structure
- Entertainment plaza
- Tourist facilities
- Valet services
- Security services

2.3 Term and Possession

Term: Five years from Commencement Date **Early Access:** October 1, 2021 for fixturing **Must Open:** Within 90 days of Commencement

2.4 Options to Renew

Two (2) renewal options of three (3) years each:

- 180 days' prior notice required
- 95% of fair market rent
- No less than 4% annual increases
- Same terms except rent

2.5 Condition of Premises

Delivered in "white box" condition:

- Previous nightclub space renovated
- New storefront installed
- HVAC systems replaced (2021)
- Code compliant for retail use
- ADA fully accessible

ARTICLE 3 - RENT AND CHARGES

3.1 Base Rent

Entertainment district location commands premium rent reflecting:

- Sunset Boulevard address
- Tourist destination status
- Entertainment venue synergy
- 24/7 activity center
- International visibility

3.2 Percentage Rent

3% of annual Gross Sales exceeding:

- Year 1: \$4,500,000
- Year 2: \$4,750,000
- Year 3: \$5,000,000
- Year 4: \$5,250,000
- Year 5: \$5,500,000

3.3 Common Area Maintenance

Current Rate: \$7.50 PSF annually **Includes:**

- Enhanced security (24/7)
- Entertainment plaza maintenance
- Valet parking services
- Marketing and events
- Professional management
- Graffiti removal program
- Power washing (weekly)

Annual Increase Cap: 5%

3.4 Real Estate Taxes

Current Rate: \$5.25 PSF annually

- Pro rata share of increases
- Includes BID assessments
- Entertainment district fees

- Special assessments pass-through

3.5 Insurance

Current Rate: \$0.85 PSF annually

- Property coverage
- General liability (\$25M)
- Terrorism insurance
- Special event coverage

3.6 Marketing Fund

Required Contribution: \$1.00 PSF annually **Additional Tourism Fund:** \$0.50 PSF annually

- District-wide campaigns
- Special events (monthly)
- Celebrity appearances
- Digital marketing
- Tourist publications

3.7 Utilities

All separately metered:

- High electrical load capacity
- Gas service available
- Grease interceptor required
- Dedicated water meter

3.8 Late Fees

5% after 5-day grace. Default interest at 12% per annum.

ARTICLE 4 - USE AND OPERATIONS

4.1 Permitted Use

Skyline Outlet Store featuring:

- Tourist-oriented merchandise
- LA/Hollywood themed products

- Electronics and accessories
- Convenience items
- Souvenir selection
- Light food service
- Entertainment tickets

4.2 Required Operations

Minimum Hours:

- Sunday-Thursday: 10 AM - 11 PM
- Friday-Saturday: 10 AM - Midnight
- Extended hours for events
- 365 days per year operation

4.3 Entertainment District Standards

- Vibrant window displays
- Neon/LED signage required
- Music allowed (ambient)
- Sidewalk sales permitted
- Street performer cooperation

4.4 Prohibited Uses

- Adult entertainment
- Cannabis (currently)
- Nightclub/bar primary use
- Live entertainment venue
- Tattoo/piercing services

4.5 Special Event Participation

Mandatory participation in:

- Award show events
- Movie premieres
- Music festivals

- Holiday celebrations
- Tourism promotions

ARTICLE 5 - IMPROVEMENTS AND ALTERATIONS

5.1 Initial Improvements

TI Allowance: \$540,000 (\$30 PSF)

- Distinctive design required
- Entertainment theme elements
- High-impact storefront
- Tourist-friendly layout
- Security systems enhanced

5.2 Landlord's Work

Completed prior to delivery:

- Structural upgrades
- New HVAC system
- Electrical upgrade (1000 amp)
- Plumbing renovation
- Fire/life safety updates

5.3 Ongoing Alterations

- <\$50,000: Notice only
- | \$50,000: Prior consent
- Must maintain entertainment character
- 24-hour operations during construction

5.4 Restoration

Remove improvements and restore to shell unless Landlord elects to keep.

ARTICLE 6 - MAINTENANCE AND OPERATIONS

6.1 Tenant Maintenance

Tenant maintains all:

- Interior premises
- Storefront and signage
- Security systems
- Equipment and fixtures
- Mezzanine access
- Patio furniture

6.2 Landlord Maintenance

Landlord maintains:

- Building structure
- Roof and exterior
- Common areas
- Parking structures
- **All HVAC equipment**
- Plaza and walkways

6.3 HVAC Responsibility

LANDLORD'S FULL RESPONSIBILITY:

- Four new rooftop units (2021)
- Total 60 tons capacity
- All maintenance and repairs
- Replacement as needed
- 24/7 service availability
- Costs included in CAM

6.4 Enhanced Maintenance

Due to entertainment district:

- Daily cleaning required
- Graffiti removal (48 hours)
- Window cleaning (weekly)
- Pressure washing (monthly)
- Pest control (bi-weekly)

6.5 Security Requirements

- Camera system mandatory
- Panic buttons required
- Safe for cash required
- Loss prevention staff
- Coordination with Center security

ARTICLE 7 - SIGNAGE

7.1 Signage Package

Exceptional signage rights:

- Building façade (2 signs max 300 SF each)
- Rooftop sign (subject to permits)
- Blade sign over sidewalk
- LED/neon required
- Digital displays permitted

7.2 Sign Criteria

- Entertainment district aesthetic
- Illuminated 24/7
- Animation permitted
- No flashing/strobe effects
- City permits required

7.3 Maintenance

Tenant maintains all signage. Outages repaired within 48 hours.

ARTICLE 8 - INSURANCE AND INDEMNITY

8.1 Insurance Requirements

Coverage Type	Minimum Limits	Special Provisions
General Liability	\$5M/\$10M	Assault & battery coverage
Property	Replacement cost	Include vandalism
Business Interruption	18 months	Civil authority coverage
Liquor Liability	\$3M	If applicable
Auto	\$2M	Valet coverage
Workers' Comp	Statutory	Alternative programs OK
Umbrella	\$25M	Entertainment district risks
Crime	\$500K	Employee dishonesty

8.2 Additional Requirements

- Landlord additional insured
- Waiver of subrogation
- Primary coverage
- Event cancellation coverage
- Terrorism coverage

8.3 Indemnity

Broad form mutual indemnification with carve-outs for gross negligence and willful misconduct.

ARTICLE 9 - ASSIGNMENT AND SUBLETTING

9.1 Transfer Restrictions

No assignment or subletting without consent. Entertainment character must be maintained.

9.2 Permitted Transfers

- Parent/subsidiary companies
- Franchisees (Skyline brand)
- Corporate reorganizations
- Sale of substantially all assets

9.3 Transfer Standards

- Entertainment retail experience
- Financial strength (\$50M net worth)

- 24/7 operational capability
- Security protocols

9.4 Recapture

Landlord may recapture for whole premises assignments.

9.5 Profits

50/50 split after Tenant's costs including unamortized improvements and commissions.

ARTICLE 10 - DEFAULT AND REMEDIES

10.1 Events of Default

- **Monetary:** 5 days notice
- **Hours:** 24 hours to cure
- **Other:** 30 days notice
- **Chronic:** 3 defaults in 12 months

10.2 Landlord Remedies

- Termination
- Possession only
- Damages/acceleration
- Self-help rights
- Security deposit application

10.3 Going Dark

Prohibited given entertainment district. \$1,000/day penalty plus damages.

10.4 Mitigation

California law mitigation required. May consider impact on center synergy.

ARTICLE 11 - DAMAGE AND CONDEMNATION

11.1 Casualty Matrix

Damage Extent	Restoration Time	Rights
<25%	<120 days	Must restore
25-50%	<180 days	Mutual option
>50%	Any	Either terminates
Last 18 months	>60 days	Tenant may terminate

11.2 Business Interruption

Given 24/7 operations, expedited restoration required. Daily rent abatement during closure.

11.3 Condemnation

Standard provisions plus loss of Sunset Boulevard frontage allows termination.

ARTICLE 12 - SPECIAL PROVISIONS

12.1 Entertainment Coordination

- Event calendar sharing
- Celebrity appearance coordination
- Security briefings
- Traffic management
- Media relations

12.2 Parking Management

- 90 spaces guaranteed
- Valet required peak times
- Validated parking program
- Employee remote parking
- Rideshare zones

12.3 Compliance

- Entertainment permits
- Conditional use permits
- Alcohol license (if applicable)
- Health permits
- Tourism licenses

12.4 Co-Tenancy

If entertainment venues <50% occupied for 6 months:

- Rent reduces to 75%
- After 12 months, termination right

12.5 Noise/Vibration

Tenant acknowledges entertainment venue impacts. No claims for reasonable levels.

12.6 Technology

- POS integration required
- Mobile app participation
- Social media coordination
- Digital displays allowed
- Free WiFi required

12.7 Sustainability

- LED lighting required
- Recycling program
- Water conservation
- Green cleaning
- Energy reporting

ARTICLE 13 - GENERAL PROVISIONS

13.1 Notices

Landlord: Los Angeles Retail Group 6000 Wilshire Boulevard, Suite 1500 Los Angeles, CA 90036 Attn: Asset Management Email: sunset@laretailgroup.com

Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Email: legal@skylinestores.com

13.2 Governing Law

California law. Los Angeles County venue. Jury waived.

13.3 Entire Agreement

Supersedes all prior agreements and negotiations.

13.4 Force Majeure

Includes earthquakes, riots, and civil unrest. No rent excuse.

13.5 Brokers

CBRE sole broker. Commission paid by Landlord.

13.6 Estoppel

10 days delivery. Form per **Exhibit F**.

13.7 Subordination

Automatic. SNDA from current lender required.

13.8 Memorandum

May be recorded at Tenant expense.

13.9 Confidentiality

Terms confidential except legal requirements.

13.10 Authority

Signatories warrant full authority.

SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above.

LANDLORD: LOS ANGELES RETAIL GROUP

By: _____

Name: Michael Stevens

Title: Managing Partner

Date: November 1, 2021

TENANT: SKYLINE STORES

By: _____

Name: Rachel Kim

Title: SVP - Real Estate West

Date: November 1, 2021

GUARANTOR: SKYLINE STORES HOLDINGS, INC.

By: _____

Name: Paul Anderson

Title: Chief Legal Officer

Date: November 1, 2021

EXHIBITS

Exhibit A - Floor Plan (Both Levels) **Exhibit B** - Site Plan with Parking **Exhibit C** - Signage Locations and Criteria **Exhibit D** - Entertainment District Rules **Exhibit E** - Design Guidelines **Exhibit F** - Form of Estoppel **Exhibit G** - Guaranty **Exhibit H** - Parking Allocation Map **Exhibit I** - Delivery and Loading Procedures **Exhibit J** - Special Event Calendar **Exhibit K** - Security Protocols **Exhibit L** - HVAC Specifications **Exhibit M** - Sustainability Requirements